

3. *Narrow range of experience.* When a person possesses an overly restrictive frame of reference from which to formulate an objective estimate, then *narrow range of experience bias* often results. For example, assume that a very successful college basketball player is drafted by a National Basketball Association (NBA) team, where he proceeds to enjoy several successful seasons. Because this person encounters numerous other successful former college basketball players on a daily basis in the NBA, he is likely to overestimate the relative proportion of successful college basketball players that go on to play professionally. He will, likewise, probably underestimate the relative frequency of failed college basketball players, because most of the players he knows are those who have gone on to reap great rewards from their undergraduate basketball careers. In reality, only an extremely small percentage of college basketball players will ever graduate to the NBA.
4. *Resonance.* The extent to which certain, given situations *resonate* vis-à-vis individuals' own, personal situations can also influence judgment. For example, fans of classical music might be likely to overestimate the portion of the total population that also listens to classical music. Those who dislike classical music would probably underestimate the number of people who listen to classical music.

PRACTICAL APPLICATION

Each variation of the availability bias just outlined has unique implications in personal finance, both for advisory practitioners and for clients. Let's explore these now.

1. *Retrievability.* Most investors, if asked to identify the "best" mutual fund company, are likely to select a firm that engages in heavy advertising, such as Fidelity or Schwab. In addition to maintaining a high public relations profile, these firms also "cherry pick" the funds with the best results in their advertising, which makes this belief more "available" to be recalled. In reality, the companies that manage some of today's highest-performing mutual funds undertake little to no advertising. Consumers who overlook these funds in favor of more widely publicized alternatives may exemplify retrievability/availability bias.
2. *Categorization.* Although this is changing, most Americans, if asked to pinpoint one country, worldwide, that offers the best investment prospects, would designate their own: the United States. Why? When conducting an inventory of memories and stored knowledge regarding "good investment opportunities" in general, the country category that